

Here, the margin required is ₹80,000.

Let us calculate the costs, risks, and rewards.

$$\begin{aligned}\text{Net premium paid} &= ₹125 + ₹20 - ₹100 \\ &= ₹45\end{aligned}$$

$$\begin{aligned}\text{Maximum reward} &= \text{Spread} - \text{Net premium paid} \\ &= 200 - 45 = ₹155\end{aligned}$$

$$\begin{aligned}\text{Break-even range} &= \text{Strike price of calls sold} \pm (\text{Net premium paid}) \\ &= 25,200 \pm ₹155 \\ &= 25045 \text{ to } 25355\end{aligned}$$

Let us see how this strategy plays out for different prices.

Particulars	Nifty at 25,200	Nifty at 24,800	Nifty at 25,600
Outcome of buying Nifty 25,000 call	Gain = 25,200 - 25,000 - ₹125 = ₹75	Premium of ₹125 lost	Gain = 25,600 - 25,000 - ₹125 = ₹475
Outcome of selling Nifty 25,200 calls	Premium of ₹100 captured	Premium of ₹100 captured	Loss = (25,600 - 25,200 - ₹50) × 2 = ₹350 × 2 = ₹700
Outcome of buying Nifty 25,400 call	Premium of ₹20 lost	Premium of ₹20 lost	Gain = 25,600 - 25,400 - ₹20 = ₹180
Net outcome	Gain of ₹155	Loss of ₹45	Loss of ₹45